provision against depreciation and obsolescence and to discharge debt.

According to Keynes, the subjective factors do not change in the short run and hence consumption function remains stable in the short period.

B) Objective Factors

Objective factors are the external factors which are real and measurable. These factors can be easily changed in the long run. Major objective factors influencing consumption function are:

1) Income Distribution

If there is large disparity between rich and poor, the consumption is low because the rich people have low propensity to consume and high propensity to save. The community with more equal distribution of income tends to have high propensity to consume. This view has been corroborated by V.K.R.V. Rao.

2) Price level

Price level plays an important role in determining the consumption function. When the price falls, real income goes up; people will consume more and propensity to save of the society increases.

3) Wage level

Wage level plays an important role in determining the consumption function and there is positive relationship between wage and consumption. Consumption expenditure increases with the rise in wages. Similar is the effect with regard to windfall gains.

4) Interest rate

Rate of interest plays an important role in determining the consumption function. Higher rate of interest will encourage people to save more money and reduces consumption.

5) Fiscal Policy

When government reduces the tax the disposable income rises and the propensity to consume of community increases. The progressive tax system increases the propensity to consume of the people by altering the income distribution in favour of poor.

6) Consumer credit

The availability of consumer credit at easy installments will encourage households to buy consumer durables like automobiles, fridge, computer. This pushes up consumption.

7) Demographic factors

Ceteris paribus, the larger the size of the family, the grater is the consumption. Besides size of family, stage in family life cycle, place of residence and occupation affect the consumption function. Families with children of college education stage spend more than those of primary education and urban families spend more than rural families.

8) Duesenberry hypothesis

Duesenberry has made two observations regarding the factors affecting consumption.